> The government's wish to increase its role in the administrative control of Vale did not begin today. President Luiz Inácio Lula da Silva has already stated several times this year that mining needs to invest more in Brazil to provide employment for the population. Since his dismissal of more than 1000 employees last year, attributed to the economic crisis, Roger Agnelli, President of Vale, has fallen into disfavour in the corridors of government. According to *Exame* magazine, there was even a committee created to remove Agnelli from the presidency of the mining company.

Indeed, Agnelli's use of the global crisis to justify laying off 1300 workers and backtrack on investment commitments to produce steel in Brazil came back to haunt him when his term of office expired in 2011. Brazil's new President, Dilma Rousseff, orchestrated the Vale shareholder blocks close to government to bring about a change of leadership in Vale. The Brazilian daily *O Estado de São Paulo* captured the dilemma in its coverage of the inauguration of a huge new Vale ore carrier in 2011. Agnelli, whose departure had already been announced, presided over the event to which government leaders had been invited. The ship had been specially commissioned in Korea and was designed to carry the massive loads of iron ore from the mines in Carajás in the Amazon, which have been exporting unprocessed iron ore to world markets since the 1980s. In recent years, the largest volume of exports has gone to China.

> Agnelli's departure was driven by pressures from the government, a shareholder of the company, by way of state pension funds. The problems started with the orders for ships to be purchased outside of Brazil (the one presented yesterday was from Korea). It deepened with the decision to sack 1300 workers at the peak of the financial crisis and to delay promised investments in domestic steel production. Yesterday, Agnelli said that Vale was committed to efficiency and has different visions and missions than those of government, though he did not consider them to be in conflict. 'Each has a vision, each has a mission. The company's mission is to generate profits in order for the company to grow in capacity and invest more. The vision, the mission of the government is different from that of a company, totally different,' said Agnelli (Valle 2011, my translation).

The change of leadership from Roger Agnelli to Murilo Ferreira and Vale's promises of a more humane management and a reduction of tension brought hopes for change. Ferreira took office as new President in 2011 and shortly thereafter